

The 6 most common reasons Texas Medicaid denies a Miller Trust

A plain-English checklist of the paperwork errors that cost Texas families a month of benefits — each with the HHSC citation behind it, so you can verify before you file, not after the denial letter arrives.

Read this first — the funding-month rule. A Miller Trust (Qualified Income Trust) only works for a given month if it is **both signed and funded in that same calendar month**. HHSC does not back-date eligibility. Sign on the 28th but fund on the 2nd of the next month, and the first month is billed at the Texas private-pay rate — roughly **\$7,500–\$11,000**. Most families lose a month to this timing gap, not to ineligibility.

The 6 denial traps to check before you file

Every trap below is drawn from HHSC policy. Verify each against the citation shown before you submit the Medicaid application.

1

No income deposited into the QIT account in the initial month

HHSC disregards income for Medicaid eligibility purposes the first month a valid QIT is signed, the QIT account is set up, and enough income is deposited into the account to reduce remaining countable income below the special income limit. A partial deposit in the initial month is allowed and will not invalidate the QIT, but no deposit at all means no income disregard that month.

Source: TX HHSC Appendix XXXVI (Revision 26-1)

2

Partial source diversion in any month after the initial month

Once a source of income is named in the QIT, the entire amount of that source must be deposited into the QIT account every month after the initial month. Depositing only part of a listed source in a non-initial month invalidates the QIT.

Source: TX HHSC Appendix XXXVI (Revision 26-1)

3

Trust not irrevocable, or revocable through court action

Per CMS, a trust that says it is irrevocable but allows revocation through court action does not meet the irrevocability requirement. HHSC follows the CMS position.

Source: TX HHSC Appendix XXXVI (Revision 26-1)

4

Missing or defective reversion (residuary) clause

The QIT instrument must name the State of Texas as the residuary beneficiary of any funds remaining at the beneficiary's death, up to the total amount of Medicaid assistance provided. A missing or defective reversion clause is a denial cause.

Source: TX HHSC Appendix XXXVI (Revision 26-1)

5

Resources deposited into the QIT account

The QIT account may only receive the beneficiary's income from sources listed in the trust. Depositing resources (savings, gifts from family, etc.) into the QIT account can cause the entire account to become a countable resource, which may put the applicant over the \$2,000 resource limit.

Source: TX HHSC Appendix XXXVI (Revision 26-1)

6

Trustee fails to distribute by end of the following month

Income deposited into the QIT account must be distributed by the last day of the following month. Per HHSC, failure to timely distribute is treated as a transfer of assets, which can trigger a Medicaid penalty period.

Source: TX HHSC Appendix XXXVI (Revision 26-1)

How families get every step right the first time

This checklist tells you *what* can go wrong. The full Texas Miller Trust Setup Kit walks through avoiding each one in order — the word-for-word bank script for when the branch refuses to open the account, the pre-filled funding worksheet using the CMS January 2026 figures income cap of \$2,982, and the day-before-you-file checklist. It's backed by a money-back guarantee: if HHSC rejects the trust for a reason traceable to following the kit, you get a full refund.

[See the Texas kit →](#)

Verify the sources yourself

- Official HHSC template — [Appendix XXXVI \(Revision 26-1, Effective March 1, 2026\)](#)
- HHSC policy manual — [Texas Health and Human Services Commission](#)

— James Whitfield, Miller Trust Guide · millertrustguide.com

Informational only. This checklist is not legal advice and is not a substitute for consultation with a licensed attorney. We are not a law firm and we do not practice law. We do not draft legal documents. State Medicaid rules vary and change; verify all information with HHSC and an attorney licensed in Texas before acting.